

Key data

Price (close of 4 September 2026)	\$295.00
Target price	\$267
Upside/downside	−9.3%
52-week range	\$100.63 – \$440.00 ¹
Market capitalisation	\$57,771m
Enterprise value	\$59,341m
Shares outstanding (diluted)	195.83m ²
Consensus target price	\$415 ¹
Fiscal year end	30 June
Sector	Photonic components and modules
Segments	Datacenter & Communications; Industrial

Source: author's elaboration on FactSet and Coherent Corp., Form 10-K FY2026.

Coherent Corp. (NYSE: COHR) — 7 September 2026

NEUTRAL · Target price **\$267** · 12-month horizon · Upside/downside **−9.3%**

Rating scale: Positive (>+10%), Neutral (−10%/+10%), Negative (<−10%).

1. Investment Summary

Table 1: Estimates summary (\$m)

	FY2026	FY2027E	FY2028E	FY2029E
Revenues	7,118	10,550	13,827	17,092
y/y growth	+22.5%	+48.2%	+31.1%	+23.6%
EBITDA	1,415	2,334	3,384	4,622
EBIT	898	1,671	2,466	3,367
EBIT margin	12.6%	15.8%	17.8%	19.7%
Free cash flow to the firm	(758)	(1,118)	(1,239)	452
EV/EBITDA at the current price	41.9x	25.4x	17.5x	12.8x

Source: author's elaboration on Coherent Corp., Form 10-K FY2026.

Over three fiscal years Coherent has transformed itself from a supplier of photonic components into a supplier of optical infrastructure for data centres dedicated to artificial intelligence. The Datacenter & Communications segment has gone from 56% to 74% of revenues and should reach 83% in the current fiscal year, while the gross margin has risen from 30.9% to 37.5%.³ The firm controls the entire production chain, from the indium phosphide substrate to the finished module,⁴ and it has started up the world's first six-inch wafer production line.⁵

We estimate revenue growth of 48.2% in fiscal year 2027 and an expansion of the operating margin from 12.6% to 26.6% by FY2033.

¹ FactSet, as at the date of the document.

² Coherent Corp., Form 10-K FY2026.

³ Coherent Corp., Form 10-K for the fiscal years ended 30 June 2024, 2025 and 2026, Note 20 — Segment Reporting and Consolidated Statements of Earnings.

⁴ Coherent Corp., Form 10-K FY2026, Item 1 — Business.

⁵ Coherent Corp., first quarter FY2026 earnings conference call, 5 November 2025.

The neutral rating concerns exclusively **the duration of the phase of exceptional growth**. The industry is today constrained by production capacity for indium phosphide laser chips, with demand exceeding supply by roughly 30%; industry sources expect the shortage to be resolved by the end of 2026.⁶ Part of the current competitive advantage is therefore transitory.

Assigning a 15% probability to the adverse scenario, the current price implies a probability of **59.1%** for the favourable scenario; we assign it **35%** (see §7.4 and §7.5).

The target price of **\$267** comes from a combination weighted 70% on the discounting of cash flows and 30% on peer multiples applied to our estimates. The same value results from weighting the scenarios by probability (see §6.6 and §7.4).

Position compared to consensus. The target price derived from the model sits significantly below the analyst consensus of about \$415. The gap does not stem from more conservative operating estimates: our revenue and margin projections are consistent with the company's guidance. Instead, it stems from the uncertainty regarding the maintenance of current results over the long term.

Main risks. The dominant factor is not growth but profitability: two percentage points of steady-state gross margin are worth \$23.5 per share, against the \$13.6 of a three-point reduction in FY2031 growth (see §8.1). Next comes the persistence of a high-risk profile even at steady state (\$18.6 per share for every 50 basis points of terminal cost of capital), customer concentration and the uncertain outcome of the technological transitions towards silicon photonics and co-packaged optics.

⁶ LightCounting, Market Forecast Report, April 2026.

2. Investment Thesis

2.1 The thesis

Coherent is undergoing an industrial transformation, and the stock already incorporates its success.

The neutral rating does not arise from scepticism about the company: the short-term trajectory that the market is discounting is accepted and shared, and our estimates coincide with it.

The disagreement with the market derives from the uncertainty over the **duration of the period over which it will be possible to keep producing these results.**

2.2 What supports the rating

The industrial quality of the firm. Control of the entire production chain does not produce margin alone: whoever owns the capacity to produce the laser chip does not depend on an external supplier and converts the industry constraint into market share.

Part of the competitive advantage is transitory. As long as the scarcity of indium phosphide chips persists, whoever controls the bottleneck has pricing power. When the shortage is resolved (industry sources point to the end of 2026, see §4.3) that power will end, and the margin will have to be sustained by structural cost advantages.

2.3 What differs from consensus

The current price incorporates for the favourable scenario a probability of **59.1%**, against the **35%** that we assign to it (see Table 16). The market therefore treats the favourable outcome as the most probable one.

For the current price to be justified, a terminal cost of capital about 110 basis points lower than our estimate is required, corresponding to a terminal beta of about 0.90 for a cyclical, capital-intensive manufacturing firm; or else a perpetual growth rate of 4.36%, higher than the expected long-run nominal growth of the United States' economy.

3. Company Overview

3.1 Business

Coherent Corp. designs and manufactures photonic components and modules, that is, devices that generate, modulate, transmit and detect light. The company's main product today is the **optical transceiver**: a module the size of a pen that plugs into the port of a network switch and converts an electrical signal into a light signal, injects it into an optical fibre, and at the other end performs the inverse operation. A latest-generation module carries 1.6 terabits per second, which is one thousand six hundred billion bits every second.

The relevance of this product has changed radically with the training of artificial intelligence models. A training cluster is not a single computer, but tens of thousands of computers that must continuously exchange intermediate results: the bandwidth that connects them determines the efficiency of the entire system. So the optical transceiver has gone from being a component of the network to an element that directly constrains the scalability of computation.

3.2 The structure

Starting from fiscal year 2026 the company reports its results in two operating segments.⁷

Datacenter & Communications (D&C) is about optical transceivers for data centres, components for long-haul telecommunications networks and laser devices intended for data transmission. It's the segment that has absorbed almost all of the growth of the last three fiscal years.

Industrial is about lasers for materials processing, precision optics, components for semiconductor production equipment and applications for the automotive and biomedical sectors. It is a mature business, with cyclical dynamics tied to industrial investment.

Table 2: Composition of revenues by segment (\$m)

	FY2024	FY2025	FY2026	FY2027E
Datacenter & Communications	2,631	3,755	5,275	8,762
% of revenues	55.9%	64.6%	74.1%	83.0%
y/y growth	n/a	+42.7%	+40.5%	+66.1%
Industrial	2,076	2,055	1,844	1,788
% of revenues	44.1%	35.4%	25.9%	17.0%
y/y growth	n/a	-1.0%	-10.3%	-3.0%
Total revenues	4,708	5,810	7,118	10,550
y/y growth		+23.4%	+22.5%	+48.2%
Gross margin	30.9%	35.2%	37.5%	38.6%

Source: author's elaboration on Coherent Corp., Form 10-K FY2024–FY2026.

Two readings of this table deserve attention.

The first concerns the **speed of the transformation**. In three fiscal years the weight of the D&C segment has gone from little more than half of revenues to over 80%. In 2027 Coherent will be a different company from the one of 2024: not because of acquisitions, but because one part of the portfolio has grown at rates that the other could not match.

The second concerns the **apparent decline of the Industrial segment**, which must be interpreted with caution. The contraction does not reflect only the weakness of the industrial cycle but also incorporates the effect of two divestments. In fiscal year 2026 the segment's revenues fell by \$211 million, equal to 10%, and the company attributes the contraction mainly to two divestments completed during the year: the aerospace and defence business, sold to the fund Advent for \$400 million on 2 September 2025, and the Munich business, on 30 January 2026.⁸⁹ As a consequence the segment is substantially stable, and this is the reading we adopt in our projections.

⁷ Coherent Corp., Form 10-K FY2026, Item 1 and Note 20 — Segment Reporting.

⁸ Coherent Corp., Form 10-K FY2026, Management's Discussion and Analysis, Revenues section.

⁹ Coherent Corp., press release of 13 August 2025, "Coherent Announces Agreement to Sell Aerospace and Defense Business to Advent for \$400 Million".

3.3 Vertical integration and the competitive advantage

The point that distinguishes Coherent from the majority of competitors is not the finished product, but **how much of its production chain it controls directly**.

To build an optical transceiver, one starts from a compound semiconductor crystal, indium phosphide (InP), from which a substrate is obtained. Successive atomic layers are deposited on the substrate, obtaining the structure that emits light. From this structure the individual laser chips are obtained, typically electro-absorption modulated lasers (EML). The chips are then optically aligned with lenses and fibres, assembled with the control electronics and tested.

Indium phosphide is central because it naturally emits light at the wavelengths that optical fibre transmits with the least attenuation, and it is therefore irreplaceable in high-speed and long-distance applications.

Coherent controls this chain entirely.⁴ Many competitors buy the laser chips from third-party suppliers and concentrate on assembling the module. This difference has three consequences:

Margin. The value added of the chip stays inside the company instead of being paid to a supplier. It is one of the structural reasons for the expansion of the gross margin from 30.9% in FY2024 to 37.5% in FY2026.¹⁰

Availability. In phases of strong demand, whoever controls the chip is not constrained by an external supplier. In a market in which capacity is the limiting factor, this translates into market share.

Rigidity. Vertical integration requires high fixed investment. The capital invested in FY2027 is equal to 25% of expected revenues, against 7.4% in FY2024. If the demand cycle breaks off, these plants must still be depreciated.¹¹

Also relevant is the shift from **InP production** on three-inch wafers to that **on six-inch wafers**. For the same process, a wafer of double the diameter offers a usable surface about four times larger, and since a significant part of the processing cost is per wafer and not per unit of surface, the unit cost of the chip falls considerably.

The company has indicated that initial yields on the six-inch lines turned out to be higher than those of the mature three-inch lines, with a cost per chip less than half, and that it expects internal capacity to double year.¹²

3.4 The customers

In FY2026 two customers each accounted for more than 10% of consolidated revenues, and the company identifies customer concentration among its main risk factors.¹³

In most cases, Coherent does not sell directly to data centre operators. The modules are sold to network equipment manufacturers, which integrate them into their own products. Final demand, however, is determined by the investment plans of a small number of large companies. It follows that the effective economic concentration is higher than the one that emerges from contractual concentration: a slowdown in the investment of a few parties is transmitted to the entire chain, regardless of how many direct customers appear in the accounts.

¹⁰ Coherent Corp., Form 10-K FY2026, MD&A, Gross margin section.

¹¹ Coherent Corp., Form 10-K FY2024 and FY2026, Consolidated Statements of Cash Flows; author's estimate for FY2027, see Appendix.

¹² Coherent Corp., first quarter FY2026 earnings conference call, 5 November 2025, and fourth quarter and full year FY2026 earnings conference call, 12 August 2026.

¹³ Coherent Corp., Form 10-K FY2026, Item 1A — Risk Factors.

4. Industry and Competitive Position

4.1 The market

The market for optical transceivers and related products reached **\$23.8 billion in 2025, growing 55% compared with 2024**.¹⁴ The Ethernet component, which is the one directly exposed to the construction of artificial intelligence clusters, recorded even more marked growth: **+93% in 2024, +82% in 2025, with a forecast of +65% for 2026** and more contained projections for the 2027-2031 period.⁶

Table 3: Growth of the Ethernet transceiver market

	2024	2025	2026E
Ethernet market growth (LightCounting)	+93%	+82%	+65%
Growth of Coherent's D&C segment (fiscal year)	+42.7%	+40.5%	—
D&C segment growth, author's estimate FY2027			+66.1%

Source: author's elaboration on LightCounting, Market Forecast Report, April 2026, and Coherent Corp., Form 10-K FY2024–FY2026.

Our growth estimate for the D&C segment for FY2027, equal to +66.1%, is substantially in line with the market growth forecast by LightCounting for 2026. This means that our model incorporates neither gains nor losses of market share, but assumes that Coherent grows with its own market.

4.2 Demand drivers

We distinguish three types of networks within and between data centres, because they respond to different demand factors, distances and technologies.

The **scale-up network** connects the computers within a single rack or a small group of racks. These are distances in the order of metres and have historically been covered by copper wires, which are far cheaper. The growth in power consumption and in the number of new accelerators is, however, pushing these wires beyond the physical limit of copper, opening up a market for optics that did not exist before.¹⁵

The **scale-out network** connects the racks to each other within a data centre. It is the historical market for 400G, 800G and today 1.6T transceivers, and it represents the bulk of current volumes.

The **scale-across network** connects clusters located in different data centres. It is a necessity arising from the fact that training clusters no longer fit into a single building, and constraints on the availability of electrical power force accelerators to be distributed across several sites. This segment uses coherent technology (ZR and ZR+ modules) which LightCounting expects to grow at a compound rate of 13% between 2026 and 2031.¹⁶

This distinction is important for Coherent because the three networks have different competitive intensities. Scale-out is the most crowded segment and the one with the greatest pressure on prices. Scale-across requires coherent optics expertise that few possess, and Coherent is among them. Scale-up is a new market, where the competitive position is still undetermined.

4.3 The constraint

The most relevant information for our valuation doesn't concern demand but supply. The deceleration of market growth forecast for 2026 is not attributed to a weakening of demand, but to the production capacity limit for indium phosphide EML laser chips: current demand exceeds supply by about 30%. The same source expects the shortage to be resolved by the end of 2026.⁶

The first implication is favourable to Coherent. Whoever owns the capacity decides how much to sell. Vertical integration in InP is control of the bottleneck.

The second implication is unfavourable. **A competitive advantage that derives from the scarcity of an input vanishes when the scarcity ends.** If the shortage is resolved by the end of 2026, as expected, the period over which Coherent can exercise pricing power is short. Consequently the 44.5% gross margin that the model assumes

¹⁴ LightCounting, Quarterly Market Update, March 2026.

¹⁵ LightCounting, Ethernet Optics Report, March 2026.

¹⁶ LightCounting, Market Forecast Report, April 2026, DWDM section.

at steady state must be sustained by structural cost advantages (the higher yield of six-inch wafers and the internalisation of the chip's value added) and not by the ability to impose high prices in conditions of scarce supply.

4.4 The competitive landscape

The industry is organised mainly into two groups.

The module assemblers design and manufacture transceivers by buying most of the components. It is the most numerous group and it includes the two largest operators worldwide by volume of modules sold: InnoLight and Eoptolink.¹⁷

The component specialists produce lasers, photodetectors, signal processors and photonic engines, selling them to the assemblers. Here operate Lumentum, Broadcom, Marvell and Coherent itself.

Coherent belongs to both groups. This is the point that makes reading industry rankings misleading: transceiver supplier rankings consider only module sales and exclude every other product, which explains the relatively low placing of Coherent and Lumentum. A significant part of the value that Coherent draws from the market does not come from a module, but from a laser chip sold to a competitor.¹⁷

Table 4: Structure of the value chain and positioning

Stage	Who operates there	Coherent is present	Competitive intensity
Substrates and epitaxial growth (InP, GaAs)	Coherent, Sumitomo, a few others	Yes	Low — high barrier to entry
Laser chips (EML, CW, VCSEL)	Coherent, Lumentum, Broadcom	Yes	Medium
Signal processors (DSP)	Broadcom, Marvell	No	Medium — outside the perimeter
Module assembly	InnoLight, Eoptolink, Coherent, Fabrinet	Yes	High — pressure on prices
Coherent optics (ZR/ZR+)	Coherent, Cisco (Acacia), Ciena	Yes	Medium

Source: LightCounting, Optical Vendor Landscape, May 2026.

This structure justifies the choice of the peer group. No single competitor perfectly replicates Coherent's business: **Lumentum** is the most direct comparison on components, **Fabrinet** represents the pure assembly model without vertical integration, and **Ciena** offers exposure to coherent optics.

For the Industrial component, which in FY2027 accounts for 17% of revenues, the reference instead consists of manufacturers of industrial lasers and semiconductor equipment: IPG Photonics and MKS Instruments, used as peers in §6.5.

4.5 Technological transitions to monitor

Silicon photonics. It is the alternative approach that integrates the optical functions on a silicon substrate rather than on indium phosphide, using the production infrastructure of traditional semiconductors. It does not eliminate the need for the laser but it reduces the InP content per module. A faster-than-expected diffusion would compress the portion of the value chain exclusively controlled by Coherent.

Co-packaged optics (CPO). Instead of inserting the optical module into a port of the switch, the optical engine is placed on the same substrate as the chip. This reduces consumption and latency but eliminates modularity: a problem is no longer resolved by replacing a module. LightCounting places the start of installations between 2026 and 2027 and significant volumes from 2028.¹⁵ Coherent has stated that it has received a first significant order with this technology.¹⁸

Linear pluggable optics (LPO). In traditional transceivers a digital signal processor reconstructs the electrical signal before transmitting it to the laser, correcting the distortions accumulated along the path. This component accounts for a significant share of the module's cost and power consumption. The LPO architecture eliminates it. The competitive consequence is that, with the correction stage gone, the intrinsic quality of the optical components

¹⁷ LightCounting, Optical Vendor Landscape, May 2026.

¹⁸ Coherent Corp., second quarter FY2026 earnings conference call, 4 February 2026.

becomes decisive once again. The architecture therefore tends to favour vertically integrated manufacturers, which directly control the quality of the laser chip.

The point common to the three transitions is that **none of them eliminates the need for high-quality laser sources**, which remains the segment in which Coherent is best positioned. Each of them, however, **changes how the final price of a transceiver is split among the different production stages**, and it does so in different directions. We do not have enough elements to establish which of them will prevail.

It is a source of uncertainty about long-term profitability that our model cannot resolve and that justifies the prudence adopted in the long-term assumptions.

4.6 Summary and implications for the estimates

In the short-term visibility is good: demand exceeds supply, order books extend beyond the year, and Coherent's production capacity is expanding. The 48.2% growth in consolidated revenues estimated for FY2027 is consistent with market forecasts and with the company's guidance.¹⁹

In the long term the picture is uncertain. LightCounting says that for a scenario of \$100 billions of optics sales for artificial intelligence clusters by 2030 to materialise, numerous conditions must be met simultaneously.¹⁵

This is where our disagreement with the market lies, not on the short-term trajectory, but on the duration of the phase of exceptional growth incorporated in today's price.

¹⁹ Coherent Corp., fourth quarter and full year FY2026 earnings press release, 12 August 2026.

5. Financial Forecast

5.1 Setting up the model

The model projects cash flows over a **ten-year horizon, from FY2027 to FY2036**. Coherent's fiscal year ends on 30 June; FY2027 is therefore the year in progress at the date of this document.

The choice of a ten-year horizon, longer than the conventional five years, derives from the fact that the calculation of the terminal value requires the last explicit year to be in a steady-state condition. A five-year horizon does not satisfy this condition for a company in full expansion. Extending to FY2036 instead allows the normalisation to steady state to occur gradually: in the final year growth coincides with the perpetual rate, margins are stable from FY2033, and the investment profile is normalised.

The projections are built **by segment for revenues** and **on a consolidated basis for margins**. The company does not provide a breakdown of the cost structure by segment detailed enough to allow separate modelling; a segmental projection of margins would have required arbitrary assumptions about cost allocation.

5.2 Revenues

Datacenter & Communications. We model the segment on a **quarterly basis for the first three fiscal years** (FY2027-FY2029) and on an annual basis thereafter. The quarterly sequence is the only way to anchor the estimate to the company's guidance.

The starting point is the fourth quarter of FY2027, estimated at \$2,491 millions. From there sequential growth is set at 8.0%, 7.0%, 7.0% and 6.5% in the four quarters of FY2028, and at 6.0%, 5.5%, 5.5% and 5.0% in FY2029. The resulting annual growth rates are **+36.2%** and **+26.4%**.

From FY2030 we project growth annually with a profile of progressive deceleration: 20.5%, 17.0%, 14.2%, 11.4%, 8.6%, 5.8% and finally 3.0% in FY2036, coinciding with the perpetual growth rate. The shape of this profile reflects the way in which a strongly expanding market normalises: through a progressive reduction of the room for growth, not through an abrupt interruption.

Industrial. We project the segment declining by 3.0% in FY2027, as an effect of the annualization of the divestment of the Munich business, and recovering to 6.0% in the two following fiscal years, then converging towards the terminal 3.0%.

Table 5: Revenue projection (\$m)

	FY2026	FY2027E	FY2028E	FY2029E	FY2031E	FY2033E	FY2036E
Datacenter & Communications	5,275	8,762	11,932	15,082	21,264	27,051	32,014
<i>y/y growth</i>	+40.5%	+66.1%	+36.2%	+26.4%	+17.0%	+11.4%	+3.0%
Industrial	1,844	1,788	1,896	2,009	2,205	2,387	2,631
<i>y/y growth</i>	-10.3%	-3.0%	+6.0%	+6.0%	+4.5%	+3.9%	+3.0%
Total revenues	7,118	10,550	13,827	17,092	23,468	29,438	34,645
<i>y/y growth</i>	+22.5%	+48.2%	+31.1%	+23.6%	+15.7%	+10.8%	+3.0%
<i>D&C as % of revenues</i>	74.1%	83.0%	86.3%	88.2%	90.6%	91.9%	92.4%

Source: author's elaboration on Coherent Corp., Form 10-K FY2026.

5.3 Cost structure and margins

We project the gross margin rising from **38.6% in FY2027 to 44.5% in FY2033**, by linear interpolation, and we keep it stable thereafter. The reasons for the expansion are those documented by the company itself for FY2026: reduction of input costs, improvement of production cycle times, higher yields in the D&C segment and price optimisation.¹⁰ To these is added the mix effect, since the D&C segment — which carries a higher margin — goes from 74% to 92% of revenues.

Research and development expenses fall from **10.0% to 8.7% of revenues**, general and administrative expenses from **12.0% to 9.2%**, both by FY2033. This follows from having largely fixed costs spread over a strongly expanding revenue base.

We project non-recurring operating charges, relating to the restructuring plan under way, going down progressively from \$80 million in FY2027 to zero by FY2031.

The result is an EBIT margin rising from 12.6% in FY2026 to 26.6% in FY2033. Since all three items reach their respective steady-state levels in that year, the margin remains stable until the end of the explicit horizon.

5.4 Investment

Capital expenditure follows **two distinct methodologies**.

In **FY2027 and FY2028** investment is expressed as a percentage of revenues, respectively **25.0% and 23.0%**, because in these years it is driven by capacity expansion projects already announced by management.⁵

From **FY2029** investment is determined by the **sales-to-capital ratio**, set at **2.10x**. Investment in each year is therefore equal to the increase in revenues divided by 2.1, to which the year's depreciation is added.

Table 6: Investment and invested capital (\$m)

	FY2026	FY2027E	FY2028E	FY2029E	FY2031E	FY2033E	FY2036E
CapEx	1,103	2,638	3,180	2,552	2,910	3,140	2,878
as % of revenues	15.5%	25.0%	23.0%	14.9%	12.4%	10.7%	8.3%
Depreciation and amortisation	518	663	918	1,255	1,634	2,016	2,449
Net property, plant and equipment	2,999	5,251	7,756	9,310	12,347	15,189	17,855
Net working capital	2,585	3,049	3,974	4,884	6,631	8,223	9,677

Source: author's elaboration on Coherent Corp., Form 10-K FY2026.

The profile that emerges is one of an **investment peak in the FY2027-FY2028 two-year period**, followed by a progressive normalisation. It is the direct consequence of the industrial model described in §3.3: vertical integration requires capital to come before revenues.

We calculate depreciation by applying a rate of **12.87%** to the previous year's property, plant and equipment, corresponding to the implied historical average. We project the amortisation of intangible assets following the residual amortisation schedule, running out over about five fiscal years.

5.5 Working capital

Working capital is calculated through turnover days, held constant over the whole horizon: **days sales outstanding 65, days inventory outstanding 180, days payable outstanding 120**, and a cash conversion cycle of **125 days**.

The comparison with FY2026 (68.9, 211.7 and 125.8 days, and a cycle of 154.8) shows that the model incorporates an **improvement of about thirty days**, concentrated in inventory. The underlying assumption is that FY2026 inventory levels reflect a build-up and not a structural level.

5.6 From profitability to cash flow

As an effect of the high investment, **free cash flow to the firm (FCFF) is negative in FY2027 and FY2028**, by about \$1.1 and \$1.2 billion respectively, and turns positive from FY2029.

This makes the present value strongly dependent on flows that are far off in time.

5.7 Limits of the model

The methodological discontinuity on investment. The shift from the percentage of revenues to the sales-to-capital ratio between FY2028 and FY2029 introduces a discontinuity. It is preferable to a uniform methodology because it allows a distinction between investment already announced and hypothetical future investment.

The improvement in working capital. The assumption of a reduction in inventory days from 211.7 to 180 is worth \$7.3 per share, equal to 3.0% of the estimated value (see Table 17). If FY2026 inventories reflected a structural rather than a temporary level, that benefit would not materialise.

The steady-state return on capital. The return on invested capital (ROIC) is calculated at 23.0%. We consider it a high return for a capital-intensive manufacturing firm.

6. Valuation

6.1 Set up

We base the valuation on two methodologies. The main method is **discounting FCFF** (DCF), built on the projections of §5. The control method is a **relative valuation by peer multiples**. The target price derives from a combination of the two, weighted 70% on the DCF and 30% on the multiples. We used these weights because the duration of a growth phase is expressed through the time profile of the cash flows, and multiples, being quantities referring to a single year, are not suited to representing it.

6.2 The cost of capital

6.2.1 Cost of equity

The cost of equity is determined according to the capital asset pricing model (CAPM):

$$K_e = r_f + \beta \times ERP$$

We set the **risk-free rate** at **4.68%**, corresponding to the yield on the ten-year United States government bond at the valuation date. We set the **market risk premium** at **4.42%**, corresponding to Damodaran's estimate.²⁰ We estimate the **beta** with a bottom-up methodology rather than through direct regression on Coherent's historical returns. The reason is that a historical beta would measure the market sensitivity of a firm whose revenue mix was very different from the current one.

Table 7: Bottom-up beta estimate

Company	Levered beta	Market capitalisation (\$m)	Debt (\$m)	Unlevered beta
Lumentum (LITE)	1.90	86,937	1,462	1.88
Fabrinet (FN)	1.62	16,522	39	1.62
Ciena (CIEN)	1.42	57,716	1,179	1.40
Average unlevered beta				1.63
Relevered beta — Coherent				1.70

Source: author's elaboration on FactSet. Tax rate 21%.

The starting values are already adjusted by the source used according to Blume's methodology.

The result is a **cost of equity of 12.20%**.

6.2.2 Cost of debt

The cost of debt is estimated by adding to the risk-free rate a **credit spread of 1.84%**, corresponding to the BB credit rating class in which Coherent is placed by the main agencies. This gives a **gross cost of 6.52%** and **5.15% net of taxation**.

6.2.3 Weighted average cost of capital (WACC)

With **94.7% equity and 5.3% debt**, the initial weighted average cost of capital works out at **11.83%**.

The model provides for a **linear convergence towards a terminal weighted average cost of capital of 9.52%** over the course of the ten explicit fiscal years.

The convergence operates exclusively through the beta, which goes from 1.70 to **1.15**. The underlying assumption is that a firm whose revenues stabilise at a growth rate of 3%, with stable margins and a normalised investment profile, displays a lower sensitivity to the economic cycle than it does today. The terminal value of the beta, 1.15, does not coincide with the market's unit beta: it retains a 15% premium that reflects the cyclical and capital-intensive nature of the business.

Applying a cost of capital of 11.83% to flows located in FY2036 would mean attributing to a mature firm the risk profile of a firm in full expansion.

²⁰ A. Damodaran, Implied Equity Risk Premium, Stern School of Business, New York University.

6.3 The terminal value

The terminal value is calculated with the perpetual growth formula applied to the FY2036 cash flow:

$$TV = \frac{FCFF_{2036} \times (1 + g)}{WACC_{terminal} - g} = \frac{6,569 \times 1.03}{9.52\% - 3.00\%} = 103,779$$

We set the **perpetual growth rate at 3.00%**. The methodological constraint is that this rate must exceed neither the long-run nominal growth of the economy in which the firm operates, nor the risk-free rate.

The present value of the terminal value is equal to **\$37,648 million**, corresponding to **77.1% of the enterprise value**. It is a high proportion, but not anomalous for a firm in an expansion phase with negative cash flows in the first two years.

6.4 Valuation bridge

Table 8: Valuation bridge (\$m, unless otherwise indicated)

	Value
Present value of the FY2027-FY2036 flows	11,157
Present value of the terminal value	37,648
Enterprise value	48,806
+ Cash and cash equivalents	1,987
– Financial debt	(3,222)
– Non-controlling interests	(335)
Equity value	47,236
Shares outstanding (millions)	195.83
Value per share (DCF)	\$241.20
Market price	\$295.00
Gap	–18.2%

Source: author's elaboration on Coherent Corp., Form 10-K FY2026.

6.5 Valuation by peer multiples

The peer group reflects the structure described in §4.4. No company replicates Coherent's perimeter, and a target multiple has therefore been constructed, weighted according to the weight of the two segments in FY2027 revenues.

Table 9: Peer companies — EV/EBITDA 2027

Company	Enterprise value (\$m)	EBITDA 2027E (\$m)	EV/EBITDA
Lumentum (LITE)	82,930	2,783	29.8x
Fabrinet (FN)	16,461	774	21.3x
Ciena (CIEN)	79,068	1,990	39.7x
<i>Median of D&C peers</i>			29.8x
IPG Photonics (IPGP)	2,273	90	25.3x
MKS Instruments (MKSI)	14,602	907	16.1x
<i>Median of Industrial peers</i>			20.7x
Target multiple (83.0% D&C / 17.0% Industrial)			28.3x

Source: author's elaboration on FactSet.

Applying the target multiple produces two distinct results depending on the EBITDA used:

With consensus estimates (FY2027 EBITDA of \$2,845m) the target multiple implies \$402.50 per share; with the model's estimates (\$2,334m), the target price equals \$328.82.

We adopt the second value. Applying market multiples to market estimates is a circular procedure. Applying the multiple based on the model tells us what Coherent's value would be if the market were right about the multiple. So it has a more meaningful interpretation.

6.6 Target Price

Table 10: Target price

Method	Value per share	Weight	Contribution
Discounting of cash flows	\$241.20	70%	\$168.84
Peer company multiples	\$328.82	30%	\$98.65
Target price			\$267

Source: author's elaboration.

The **target price works out at \$267 per share** (unrounded value \$267.49), with a gap of **-9.3%** relative to the current price of \$295.00. The recommendation is **Neutral**.

The 70/30 weighting is discretionary. §7.4 shows that the same value results from a probability weighting of the scenarios, built on different bases.

6.7 What the current price implies

What assumptions would have to be adopted for the model to return the current price of \$295?

Table 11: Assumptions implicit in the market price

Variable	Our assumption	Value required to justify \$295
Terminal weighted average cost of capital (WACC)	9.52%	about 8.42%
Perpetual growth rate	3.00%	about 4.36%

Source: author's elaboration.

The first row shows that the market would attribute to Coherent a terminal cost of capital equal to 8.4%, equivalent to a terminal beta of about 0.90: a risk profile lower than that of the equity market as a whole, for a cyclical, capital-intensive manufacturing firm.

In the second, the required perpetual growth rate would be 4.36%: it remains below the risk-free rate, but only by 32 basis points, and it exceeds the estimates of long-run nominal growth of the United States economy. It is not an impossible value, but it sits at the extreme limit of the range.

The point is that **the current price does not require better operating results than ours: it requires the favourable phase to last longer, or the risk associated with the business to be structurally lower.**

7. Scenario Analysis and Sensitivities

7.1 Set up

We construct the scenarios by acting on **six parameters**, selected because they are the quantities to which the value per share is most sensitive (see Table 17). We keep all the other elements of the model unchanged: cost of capital, working capital turnover days, investment efficiency, tax rate.

Table 12: Scenario parameters

Parameter	Bear	Base	Bull
D&C quarterly growth, FY2028-FY2029 (deviation)	-1.5 p.p.	—	+1.5 p.p.
D&C growth FY2030	13.0%	20.5%	26.0%
D&C growth FY2031	9.0%	17.0%	22.0%
Terminal gross margin	41.5%	44.5%	46.5%
Terminal SG&A (% of revenues)	10.2%	9.2%	8.7%
Perpetual growth rate	2.5%	3.0%	3.5%

Source: author's elaboration.

The growth parameters for FY2030 and FY2031 also change the subsequent profile, since the deceleration of the FY2032-FY2036 years is built by linear convergence from the FY2031 rate towards the perpetual growth rate. This means that acting on these two parameters is equivalent to modifying the duration of the expansion phase.

7.2 Results

Table 13: Scenario outcomes

	Bear	Base	Bull
Price per share	\$141.91	\$241.20	\$357.41
Gap from the current price	-51.9%	-18.2%	+21.2%
Terminal return on invested capital (ROIC)	17.8%	23.0%	26.7%

Source: author's elaboration.

The range goes from \$142 to \$357. **A range of this width measures the uncertainty that characterises a firm whose value depends, for more than 75%, on flows after 2036.**

7.3 Sensitivity analysis

The following table reports the price per share of the central scenario as the terminal weighted average cost of capital and the perpetual growth rate vary. The axes are centred on the values of the central scenario, with increments of 50 basis points on the cost of capital and 25 basis points on the growth rate.

Table 14: Value per share (\$) — base scenario

Terminal WACC ↓ / TGR →	2.50%	2.75%	3.00%	3.25%	3.50%
8.52%	269.99	278.78	288.36	298.85	310.39
9.02%	247.74	254.98	262.81	271.33	280.61
9.52%	228.66	234.69	241.18	248.18	255.77
10.02%	212.11	217.19	222.62	228.46	234.74
10.52%	197.63	201.94	206.53	211.44	216.69

Source: author's elaboration. In bold, the cell corresponding to the central scenario and the only two combinations that exceed the current price. The grid is recalculated on rounded inputs: the central cell (241.18) differs by two cents from the value of \$241.20 reported in the text.

We observe that **the current price of \$295 is reachable in only two cells**, both located in the top row. A terminal cost of capital of 8.52% and a perpetual growth rate of at least 3.16% are required simultaneously.

7.4 Probability weighting

We assign the following probabilities to the scenarios: **15% to the bear case scenario, 50% to the base case scenario, 35% to the bull case scenario.**

The asymmetry in favour of the bull case scenario reflects the demand conditions documented in §4.2. The contained weight of the bear case scenario instead reflects the absence, as things currently stand, of signals of a reversal in the investment cycle.

Table 15: Probability-weighted expected value

Scenario	Value	Probability	Contribution
Bear	\$141.91	15%	\$21.29
Base	\$241.20	50%	\$120.60
Bull	\$357.41	35%	\$125.09
Expected value			\$266.98

Source: author's elaboration.

The weighted expected value of **\$266.98** should be compared with the target price of **\$267.49** obtained in §6.6 as a weighted combination of DCF and peer multiples. **The two procedures converge to within 0.2%.**

The convergence reinforces the weighting adopted: two procedures built on different bases lead to the same value. The scenario probabilities were set before the comparison and not calibrated on it.

7.5 The probabilities implicit in the current price

We ask what probabilities the market is implicitly assigning.

Table 16: Probabilities implicit in the price of \$295.00

Probability assigned — Bear	Implied probability — Base	Implied probability — Bull
0%	53.7%	46.3%
10%	35.2%	54.8%
15%	25.9%	59.1%
20%	16.6%	63.4%

Source: author's elaboration.

Assigning to the bear case scenario the same probability assigned in §7.4 (15%), the implied probability of the bull case scenario works out at **59.1%**.

The market therefore assigns the favourable scenario a probability almost double ours. It is this difference that generates the negative gap of the target price.

8. Risks and What Would Change Our View

8.1 Risks represented in the model

Table 17: Quantification of the main risks

Risk	Assumption	Effect on value
Failure of the gross margin expansion	Terminal gross margin 42.5% instead of 44.5%	-\$23.5
Increase in perceived risk at steady state	Terminal WACC 10.02% instead of 9.52%	-\$18.6
Shortening of the expansion phase	D&C growth FY2031 at 14.0% instead of 17.0%	-\$13.6
Slowdown of sequential growth	Quarterly growth FY2028-FY2029 lower by 1.0 p.p.	-\$12.3
Failure to absorb inventories	Inventory days at 211.7 instead of 180	-\$7.3
Lower operating leverage on structural costs	Terminal SG&A at 9.7% instead of 9.2%	-\$5.8
Lower investment efficiency	Sales-to-capital ratio 1.90x instead of 2.10x	-\$3.8

Source: author's elaboration.

From this table it is evident that the dominant risk concerns the gross margin: two percentage points of steady-state gross margin are worth almost double with respect to three percentage points of growth in FY2031.

Moreover, 50 basis points more on the terminal WACC are worth \$18.6 per share, more than a substantial shortening of the expansion phase. This means that the persistence of a high-risk profile even at steady state is a significant risk.

8.2 Risks not represented in the model

Customer concentration. Two customers each accounted for more than 10% of revenues in FY2026,¹³ and the multi-year agreement with NVIDIA reinforces that concentration.²¹

Technological substitution. The three transitions described in §4.5 modify how value is split along the production chain in different directions. The model implicitly assumes that Coherent's competitive position remains unchanged. An unfavourable outcome would be seen through the gross margin.

End of the InP bottleneck. As documented in §4.3, the scarcity of InP laser chips currently supports prices and should be resolved by the end of 2026.⁶ The model does not distinguish between the component of margin deriving from this bottleneck and the one deriving from structural cost advantages. If the first component were prevalent, the estimated gross margin expansion would be too aggressive.

Geopolitical and trade context. Coherent operates in several jurisdictions and many of its competitors are based in China. Changes to export controls, tariffs or investment restrictions may affect costs, market access and the competitive structure of the industry.

8.3 Favourable factors not incorporated

Longer-than-expected duration of the expansion. It is a factor represented in the bull case scenario. Industry estimates see sales of optics for artificial intelligence of \$100 billion by 2030, subject to numerous conditions being met.¹⁵ This scenario would take the price above our bull case scenario.

Scale-up networks. The replacement of copper wires with optical ones inside the racks constitutes a new market, of a size not yet determined.¹⁵ A rapid adoption would represent an increase in demand not incorporated in the projections.

Higher-than-expected production efficiency. Production on six-inch wafers has recorded yields higher than those of the three-inch production lines, with a cost per chip less than half.²² A further improvement would increase the gross margin.

²¹ Coherent Corp., Form 10-K FY2026, Item 1 — Business, Datacenter & Communications Market Group section.

²² Coherent Corp., fourth quarter and full year FY2026 earnings conference call, 12 August 2026.

8.4 Indicators to monitor

Table 18: Indicators to monitor

Indicator	Source and frequency	Favourable threshold	Unfavourable threshold
Gross margin	Quarterly release	≥ 40.0% by Q4 FY2027	< 38.0% for two consecutive quarters
D&C revenue growth	Quarterly release	> 8.0% average over two quarters	< 5.0% average over two quarters
Investment as % of revenues	Annual cash flow statement	< 13.0% in FY2029	> 20.0% in FY2029
Inventory turnover days	Quarterly balance sheet	< 175 days in FY2027	> 200 days in FY2027
Average transceiver prices	LightCounting, quarterly updates	Stable	Declining by more than 10% per year
Customer concentration	Form 10-K, Item 1A	Fewer than two customers above 10%	Increase in the weight of the top customers

Source: author's elaboration.

8.5 Conditions for a revision of the rating

The ratings expressed in this document follow a symmetrical scale: positive for an expected gap above +10%, neutral for a gap between –10% and +10%, negative for a gap below –10%.

The neutral rating for Coherent comes from assigning a 35% probability to the favourable scenario; a revision of the rating is therefore given by changes in that probability.

Upgrade to a positive rating. For the rating to become positive, with a delta of at least 10%, the probability of the favourable scenario occurring would have to exceed **85%**. A rise that large would require an upward revision of the base scenario, and in particular of the gross margin trajectory or of the duration of the expansion phase.

Downgrade to a negative rating. The rating would become negative if the probability assigned to the favourable scenario fell below **33.7%**, the threshold at which the weighted expected value touches \$265.5 and the gap reaches the –10% set by the scale. The difference from the 35% adopted is a little more than 1%: the neutral rating sits at the lower limit of the band, and even a modest revision of the growth or margin assumptions would take it beyond.

Appendix — Model Output

A.1 Reading note

The appendix reports the full output of the model used for the valuation. The line items correspond to those of the spreadsheet, so that every value can be traced back to its cell of origin.

All amounts are expressed in millions of United States dollars, unless otherwise indicated.

A.2 Operating model — Revenues

Table A1: Revenue projection by segment (\$m)

	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Datacenter & Communications	5,274.6	8,761.8	11,931.7	15,082.3	18,174.1	21,263.7	24,283.2	27,051.4	29,377.9	31,081.8	32,014.2
% growth	40.5%	66.1%	36.2%	26.4%	20.5%	17.0%	14.2%	11.4%	8.6%	5.8%	3.0%
% of sales	74.1%	83.0%	86.3%	88.2%	89.6%	90.6%	91.4%	91.9%	92.2%	92.4%	92.4%
Industrial	1,843.6	1,788.2	1,895.5	2,009.3	2,109.7	2,204.7	2,297.3	2,386.9	2,472.8	2,554.4	2,631.0
% growth	-10.3%	-3.0%	6.0%	6.0%	5.0%	4.5%	4.2%	3.9%	3.6%	3.3%	3.0%
% of sales	25.9%	17.0%	13.7%	11.8%	10.4%	9.4%	8.6%	8.1%	7.8%	7.6%	7.6%
Total revenue	7,118.2	10,550.0	13,827.2	17,091.5	20,283.8	23,468.4	26,580.4	29,438.3	31,850.7	33,636.2	34,645.3
% growth	22.5%	48.2%	31.1%	23.6%	18.7%	15.7%	13.3%	10.8%	8.2%	5.6%	3.0%

Source: author's elaboration on Coherent Corp., Form 10-K FY2026.

Table A2: Quarterly build-up of the D&C segment

	Q1%	Q2%	Q3%	Q4%	Q1	Q2	Q3	Q4	Annual
FY2027	—	—	—	—	—	—	—	2,491.5	—
FY2028	8.0%	7.0%	7.0%	6.5%	2,690.8	2,879.2	3,080.7	3,281.0	36.2%
FY2029	6.0%	5.5%	5.5%	5.0%	3,477.8	3,669.1	3,870.9	4,064.4	26.4%

Source: author's elaboration.

A.3 Estimates — Income statement

Table A3: Income statement (\$m)

	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Revenues	7,118.2	10,550.0	13,827.2	17,091.5	20,283.8	23,468.4	26,580.4	29,438.3	31,850.7	33,636.2	34,645.3
COGS	4,449.1	6,477.7	8,353.9	10,158.1	11,855.9	13,486.5	15,013.5	16,338.3	17,677.1	18,668.1	19,228.1
Gross Profit	2,669.0	4,072.3	5,473.3	6,933.5	8,427.9	9,981.9	11,566.9	13,100.0	14,173.5	14,968.1	15,417.1
Gross Margin	37.5%	38.6%	39.6%	40.6%	41.5%	42.5%	43.5%	44.5%	44.5%	44.5%	44.5%
R&D	723.0	1,055.0	1,352.8	1,635.1	1,896.5	2,143.4	2,370.1	2,561.1	2,771.0	2,926.3	3,014.1
% of revenues	10.2%	10.0%	9.8%	9.6%	9.3%	9.1%	8.9%	8.7%	8.7%	8.7%	8.7%
SG&A	1,044.6	1,266.0	1,594.7	1,891.5	2,150.1	2,378.1	2,569.4	2,708.3	2,930.3	3,094.5	3,187.4
% of revenues	14.7%	12.0%	11.5%	11.1%	10.6%	10.1%	9.7%	9.2%	9.2%	9.2%	9.2%
Other operating costs	3.7	80.0	60.0	40.0	20.0	0.0	0.0	0.0	0.0	0.0	0.0
EBIT	897.9	1,671.3	2,465.8	3,366.9	4,361.3	5,460.3	6,627.4	7,830.6	8,472.3	8,947.2	9,215.6
EBIT Margin	12.6%	15.8%	17.8%	19.7%	21.5%	23.3%	24.9%	26.6%	26.6%	26.6%	26.6%
Tax rate	7.2%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%
NOPAT	833.4	1,320.3	1,948.0	2,659.9	3,445.4	4,313.6	5,235.6	6,186.2	6,693.1	7,068.3	7,280.4

Source: author's elaboration on Coherent Corp., Form 10-K FY2026.

A.4 Estimates — CapEx and D&A

Table A4: Capital expenditure and depreciation and amortisation (\$m)

	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
CapEx	-1,102.9	-2,637.5	-3,180.3	-2,552.3	-2,718.0	-2,909.9	-3,070.5	-3,140.1	-3,103.0	-2,952.3	-2,878.4
% of sales	15.5%	25.0%	23.0%	14.9%	13.4%	12.4%	11.6%	10.7%	9.7%	8.8%	8.3%
Depreciation	241.6	385.9	675.6	997.8	1,197.8	1,393.4	1,588.5	1,779.2	1,954.3	2,102.1	2,211.5
PP&E	2,999.3	5,250.9	7,755.6	9,310.1	10,830.2	12,346.7	13,828.6	15,189.5	16,338.2	17,188.5	17,855.4
Rate	12.87%	12.87%	12.87%	12.87%	12.87%	12.87%	12.87%	12.87%	12.87%	12.87%	12.87%
Amortization	—	277.3	242.6	257.0	251.9	240.4	237.1	237.1	237.1	237.1	237.1
D&A	517.5	663.2	918.2	1,254.8	1,449.8	1,633.8	1,825.6	2,016.2	2,191.3	2,339.1	2,448.5

Source: author's elaboration.

Terminal parameters: **CapEx efficiency 2.10x · Reinvestment rate 13.03% · Reinvestment \$948.8m.**

A.5 Estimates — ΔNWC

Table A5: Net working capital (\$m and days)

	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
DSO	68.9	65.0	65.0	65.0	65.0	65.0	65.0	65.0	65.0	65.0	65.0
DIO	211.7	180.0	180.0	180.0	180.0	180.0	180.0	180.0	180.0	180.0	180.0
DPO	125.8	120.0	120.0	120.0	120.0	120.0	120.0	120.0	120.0	120.0	120.0
CCC	154.8	125.0	125.0	125.0	125.0	125.0	125.0	125.0	125.0	125.0	125.0
Account receivables	1,343.3	1,878.8	2,462.4	3,043.7	3,612.2	4,179.3	4,733.5	5,242.4	5,672.0	5,990.0	6,169.7
Inventories	2,581.0	3,194.5	4,119.7	5,009.5	5,846.7	6,650.9	7,403.9	8,057.2	8,717.5	9,206.2	9,482.4
Prepaid and other CA	900.1	1,160.5	1,521.0	1,880.1	2,231.2	2,581.5	2,923.8	3,238.2	3,503.6	3,700.0	3,811.0
Account payables	1,533.6	2,129.7	2,746.5	3,339.6	3,897.8	4,433.9	4,935.9	5,371.5	5,811.7	6,137.4	6,321.6
Accrued compensation	358.0	527.5	691.4	854.6	1,014.2	1,173.4	1,329.0	1,471.9	1,592.5	1,681.8	1,732.3
Other accrued liabilities	348.0	527.5	691.4	854.6	1,014.2	1,173.4	1,329.0	1,471.9	1,592.5	1,681.8	1,732.3
NWC	2,584.8	3,049.1	3,973.9	4,884.4	5,763.9	6,630.9	7,467.3	8,222.6	8,896.4	9,395.1	9,676.9
ΔNWC	1,005.6	464.3	924.8	910.5	879.5	867.0	836.3	755.3	673.8	498.7	281.9

Source: author's elaboration.

A.6 WACC

Table A6: WACC

Item	Value
Market Cap	57,770.6
% of Equity	94.72%
Risk Free Rate	4.68%
Beta	1.7017
Market Risk Premium	4.42%

Item	Value
Cost of Equity	12.20%
Debt	3,222.2
% of Debt	5.28%
Spread BB	1.84%
Cost of Debt	6.52%
Tax Rate	21.0%
WACC	11.83%

Source: author's elaboration on FactSet.

Table A7: Bottom-up beta

	Levered Beta	Market Cap	Debt	Tax rate	Unlevered Beta
LITE	1.90	86,936.96	1,461.80	21.0%	1.8751
FN	1.62	16,521.93	38.76	21.0%	1.6170
CIEN	1.42	57,716.12	1,179.00	21.0%	1.3974
Average unlevered Beta					1.6298
Levered Beta					1.7017
Item					Value
Terminal beta					1.15
Terminal Ke					9.76%
Terminal WACC					9.52%

Source: author's elaboration.

A.7 DCF

Table A8: Free cash flows to the firm and discounting (\$m)

	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
WACC	11.83%	11.57%	11.32%	11.06%	10.80%	10.55%	10.29%	10.03%	9.78%	9.52%
EBIT	1,671.3	2,465.8	3,366.9	4,361.3	5,460.3	6,627.4	7,830.6	8,472.3	8,947.2	9,215.6
Tax rate	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%

	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
NOPAT	1,320.3	1,948.0	2,659.9	3,445.4	4,313.6	5,235.6	6,186.2	6,693.1	7,068.3	7,280.4
D&A	663.2	918.2	1,254.8	1,449.8	1,633.8	1,825.6	2,016.2	2,191.3	2,339.1	2,448.5
CapEx	-2,637.5	-3,180.3	-2,552.3	-2,718.0	-2,909.9	-3,070.5	-3,140.1	-3,103.0	-2,952.3	-2,878.4
ΔNWC	464.3	924.8	910.5	879.5	867.0	836.3	755.3	673.8	498.7	281.9
FCFF	-1,118.3	-1,238.9	451.9	1,297.7	2,170.6	3,154.4	4,307.0	5,107.6	5,956.4	6,568.6
Discount factor	1.1183	1.2477	1.3889	1.5425	1.7091	1.8893	2.0837	2.2928	2.5169	2.7565
PV of FCFF	-1,000.0	-993.0	325.4	841.3	1,270.0	1,669.6	2,067.0	2,227.7	2,366.5	2,382.9

Source: author's elaboration.

Table A9: Valuation bridge (\$m)

Item	Value
TGR	3.00%
Terminal WACC	9.52%
Terminal value	103,778.6
PV of Terminal value	37,648.2
Sum of PV FCFF	11,157.4
Enterprise value	48,805.6
Cash	1,987.0
Debt	3,222.2
NCI	334.7
Equity Value	47,235.7
Shares outstanding	195.83
Implied share price	\$241.20

Source: author's elaboration.

A.8 Scenarios

The sensitivity matrix and the scenario parameters are reported in Tables 12, 13 and 14 of the body of the document.

A.9 Comps

Table A10: Peer companies

Peers	Enterprise value	EBITDA 2027	EV/EBITDA 2027
LITE	82,929.85	2,782.78	29.80x
FN	16,461.15	773.60	21.28x
CIEN	79,068.20	1,989.95	39.73x
IPGP	2,272.84	89.91	25.28x
MKSI	14,602.05	907.00	16.10x
Mean_D&C			30.27x
Median_D&C			29.80x
Mean_Industrial			20.69x
Median_Industrial			20.69x
Target multiple (median)			28.26x

Source: author's elaboration on FactSet.

Table A11: Application of the target multiple

Item	EBITDA consensus	EBITDA author's estimates
COHR — Enterprise value	80,392.8	65,964.2
EBITDA 2027	2,845.10	2,334.47
Cash	1,987.0	1,987.0
Debt	3,222.2	3,222.2
NCI	334.7	334.7
Equity value	78,822.9	64,394.3
Shares outstanding	195.83	195.83
Target price	\$402.50	\$328.82

Source: author's elaboration on FactSet.

A.10 Cross-check

Table A12: Implied multiples and comparison with the market

Item	2027	2028
COHR — Market EV	59,340.5	59,340.5
EBITDA consensus	2,845.10	4,140.07
EBITDA (author's estimates)	2,334.47	3,383.95
EV/EBITDA consensus	20.86x	14.33x
EV/EBITDA (author's estimates)	25.42x	17.54x
LITE — EV/EBITDA consensus	29.80x	18.86x
FN — EV/EBITDA consensus	21.28x	17.43x
CIEN — EV/EBITDA consensus	39.73x	27.72x
Mean	30.27x	21.33x
Median	29.80x	18.86x
DCF cross-check — implied EV / EBITDA 2028		14.42x

Source: author's elaboration on FactSet.

A.11 Data sources

The historical data used in the model are taken from the following documents, all available on the EDGAR system of the United States Securities and Exchange Commission, CIK 0000820318:

Coherent Corp., Form 10-K for the fiscal year ended 30 June 2026 — Consolidated Balance Sheets, Consolidated Statements of Earnings, Consolidated Statements of Cash Flows, Note 20 — Segment Reporting.

Coherent Corp., Form 10-K for the fiscal years ended 30 June 2025 and 30 June 2024, for the comparative series.

Market data, betas and consensus estimates are taken from FactSet. Market estimates relating to the industry are taken from the LightCounting publications cited in the text.

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